

Republic of Mexico listed on the New York Stock Exchange were all in default and were selling at from 4 to 6 cents on the dollar at that time; Chile Copper Co. Debenture 5s, due in 1947, were selling at 67 in June 1933, whereas the Republic of Chile 6s were in default since 1931 and were selling at prices ranging from 11 to 12 cents on the dollar; Rio de Janeiro Tramway, Light & Power Co. First 5s, due in 1935, were at 87 in June 1933, whereas the bonds of the City of Rio de Janeiro were in default since 1931 and were selling at 22, having sold below 10 cents on the dollar earlier in the year; Pirelli Co. of Italy Sinking Fund Convertible 7s, due 1952, were selling above par in June 1933, whereas the Kingdom of Italy External Sinking Fund 7s, due in 1951, were selling at 95, neither issue being in default.

At the end of 1939 the Mexican Light & Power Co. issue was still paying its interest charges and selling at 21–25, whereas the Mexico Government issues were in default and selling at $\frac{3}{4}$ cent on the dollar. Note also that in September 1939 Rhine-Westphalia Electric Power Corp. called at par and interest the small balance of 7% Secured (dollar) Notes when the German Republic External 7s were selling in the New York market at less than 10% of par. In November 1939 Pirelli Co. of Italy called for payment at 105 and interest the entire issue of its 7% convertible (dollar) bonds, due in 1952. Concurrently Kingdom of Italy External 7s, due 1951, were selling at 65.

NOTE 16

For example, the Sept. 1, 1932 coupon on Alpine-Montan Steel Corp. First 7s, due in 1955, was not paid because of foreign exchange restrictions imposed by the Austrian government, although the corporation possessed sufficient domestic funds to make the payment. The Aug. 1, 1932 coupon on Rima Steel Corp. First 7s, due 1955, was not paid owing to a decree of the Hungarian government suspending payments abroad in foreign currencies on Hungarian financial obligations, from and after Dec. 23, 1931. The principal of Deutsche Bank 6% Notes, due Sept. 1, 1932, was not paid at maturity owing to exchange restrictions imposed by the German government. Holders were offered immediate payment in marks to be left in Germany or payment on Sept. 1, 1935 in dollars with an immediate payment of a cash premium of 2% in dollars. A similar compromise was worked out with respect to Saxon Public Works, Inc., 5% Notes due July 15, 1932.

NOTE 17

For a detailed treatment of the investment qualities and record of equipment-trust obligations the student is referred to Kenneth Duncan, *Equipment Obligations*,